

Resilient but stretched:

Five months following the Middle East Conflict

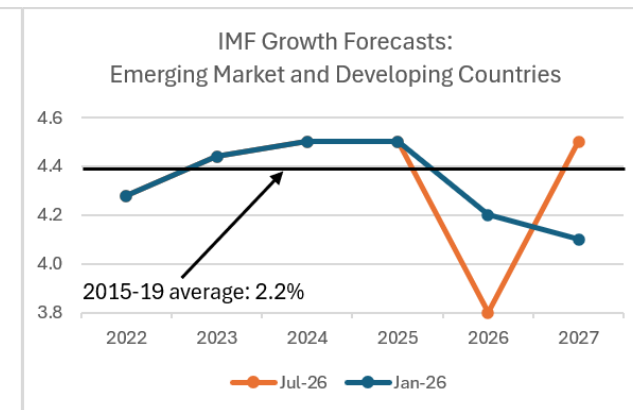
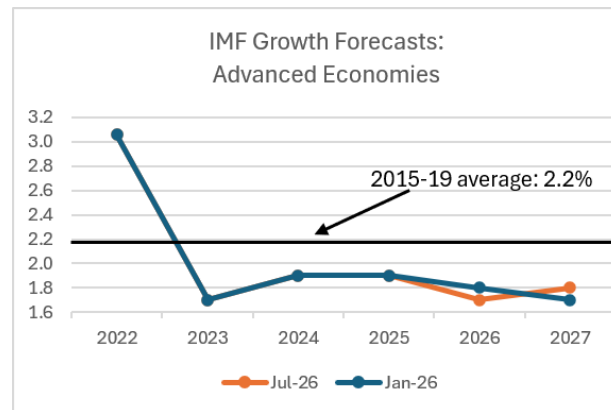
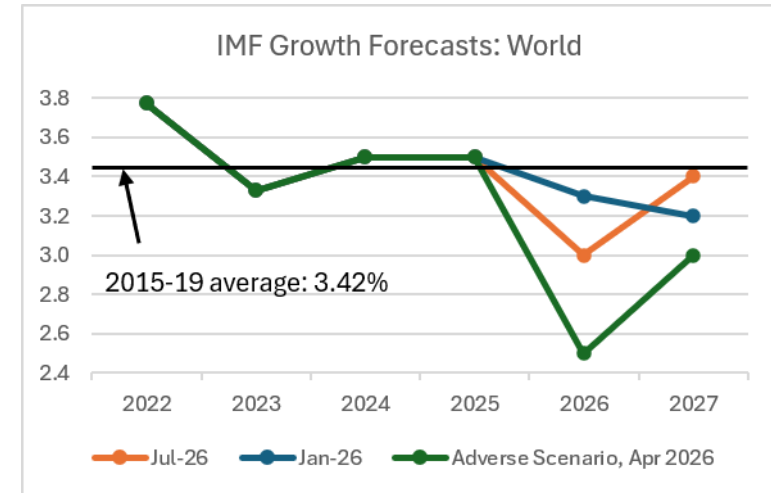
DAVID Marx

The Middle East conflict's impact on global growth remains moderate

- July marks the fifth month since Iran and the US/Israel entered military conflicts. Following a brief truce in June, new rounds of crossfire suggest that a clean end to the war would be hard to achieve in the short run.
- In general, the world economy has demonstrated resilience since February. The IMF, in July, expects the global output to grow at 3.0% in 2026, only 0.3 ppts down compared with the pre-war forecast of 3.3%. Inflation picked up in major advanced economies, but the rise was moderate compared with that in 2022, when the Ukraine crisis took place.
- Central banks of major advanced economies stayed alert to the inflation risks, with the ECB and the BOJ hiking policy rates in June, but signalled no consecutive tightening as they did in the previous rate-hike cycle. Long-term treasury yields remain elevated, while benchmark stock indices avoided sharp corrections.
- However, such a stretched context, where Brent crude is trading above 80 and refined product prices remain high, the Fed holds for longer or opts for a hike, long-term treasury yields stay elevated, risks will definitely build up. An escalation in the Middle East conflict, renewed trade restrictions following the 301 investigation, a slowdown of AI investment, or an adjustment to the tech firm valuation, could all break the fragile balance of the global economy.

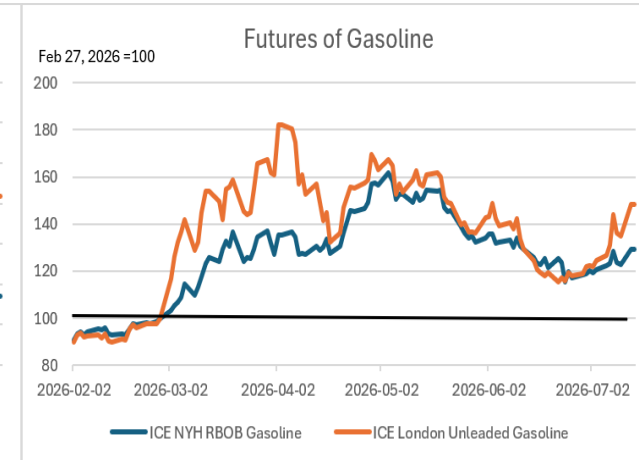
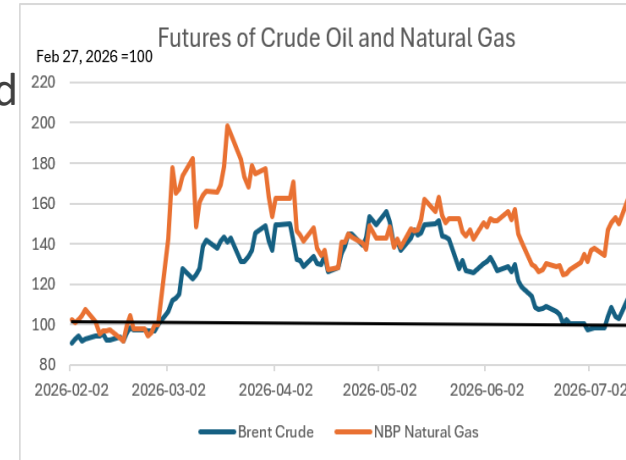
The Middle East conflict's impact on global growth remains moderate

- IMF's latest forecast (WEO Update July 2026) projects a global GDP growth of 3.0% for 2026, 0.3 ppts lower than the pre-war forecast in January.
 - Combining 2026 and 2027, the loss in global GDP expansion amounts to 0.4% of the global real output in 2025.
 - The outlook was much better than the Adverse Scenario envisaged by the IMF in April, contributed by a milder degree of military conflicts, utilization of oil stocks, and the boom in AI investment/trade.
- The impact falls heterogeneously across economies. Growth of forecasts of AEs saw little change, while those of EMDCs were revised down significantly, dragged by the oil importers that are not highly involved in AI supply chains.
- Meanwhile, global growth in 2026/27 will continue to remain under the pre-pandemic average (2015-19) of 3.4%.



Energy prices rose again following the new rounds of crossfire

- The energy price spike in March and April 2026 was much milder than that in 2022, and had eased considerably in late June following the signing of MOU between the US and Iran.
- With the renewal of attacks and the announced closure of the Hormuz Strait, Brent Crude went above USD 80 per barrel again in mid-July, while the NBP natural gas price erased all the ceasefire declines in June.
- Refined oil saw a larger spike than crude oil. London gasoline futures price is now 50% above the pre-war level, contributed not only by the Middle East conflicts but also by tensions in the Eastern Europe.
- Prices of fertilizers, key derivatives of oil refineries, also saw a large elevation in Q2 with only mild pullbacks during the ceasefire. For instance, the Diammonium Phosphate (DAP) price is now as high as in mid-2022.

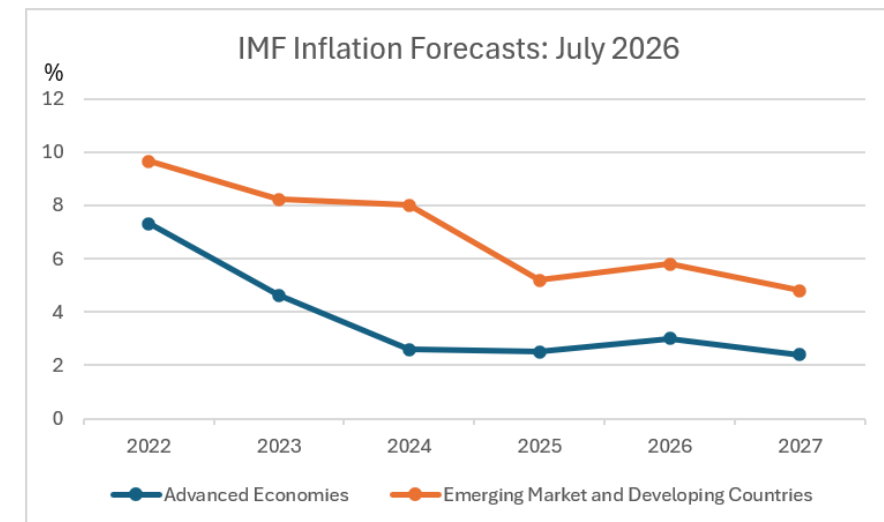
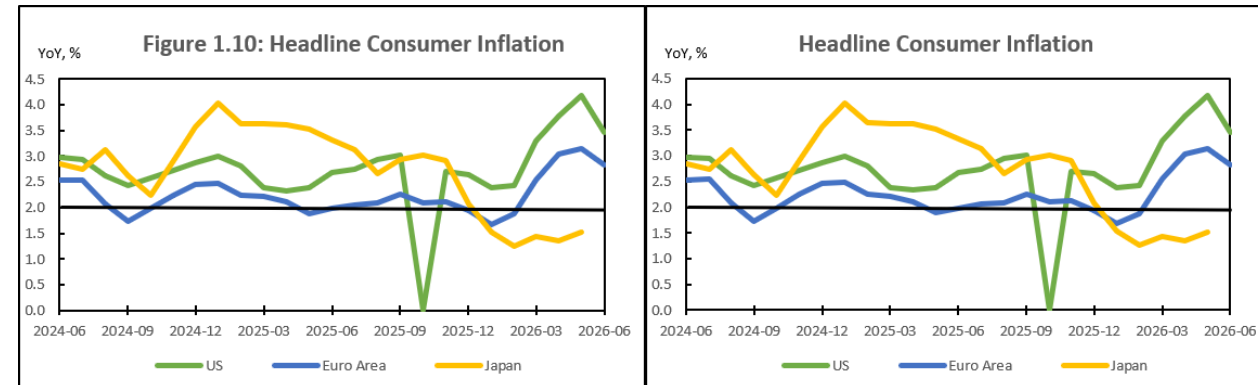


Inflation in major advanced economies rose significantly in Q2

- Higher energy prices pushed up price growth in major advanced economies, which continue to exceed the 2% targets.
 - In the US, headline inflation rose from 2.4% YoY in February to 4.2% YoY in May, while that in the Euro Area rose from 1.9% YoY to 3.1% YoY. Inflation in Japan rose less significantly, mostly due to government energy subsidies. Inflation eased in June following the ceasefire, but the renewed conflicts may hinder the disinflation process in the following months.
 - Compared with the inflation spike in 2022, which pushed annual inflation to 7% in AEs, the current price growth acceleration remains moderate
- Central banks in major advanced economies expect inflation to remain above the 2% target in 2026/27

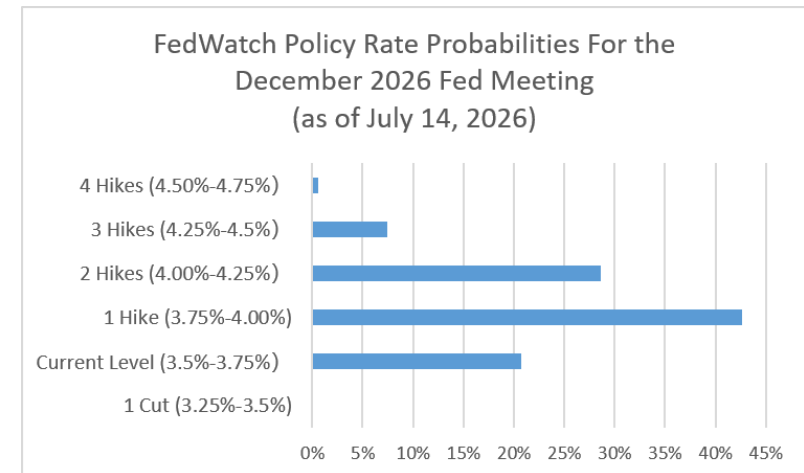
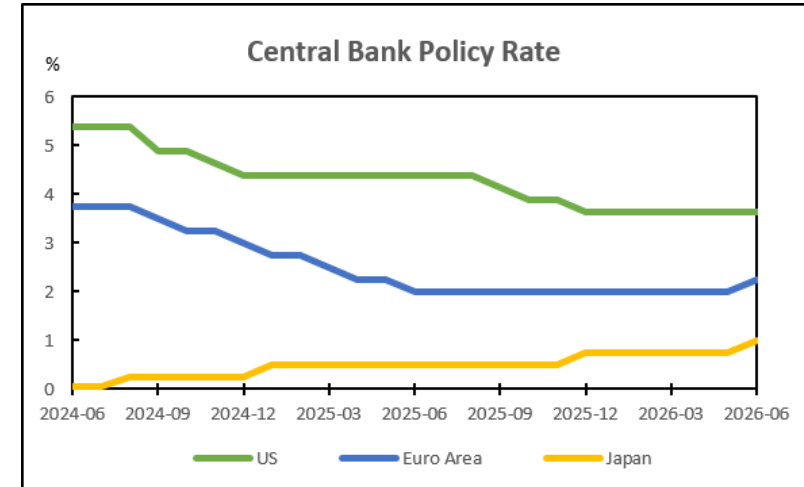
Headline Inflation Projections	2026	2027
US Fed-Jun 2026	3.6% (+0.9)	2.3% (+0.1)
ECB-Jun 2026	3.0% (+0.4)	2.9% (+0.3)
BOJ-Apr 2026	2.8% (+0.9)	2.3%(+0.3)

Note: Numbers in the parentheses are the changes in percentage points compared with the previous forecasts; Forecasts by the BOJ are CPI of all items less fresh food.



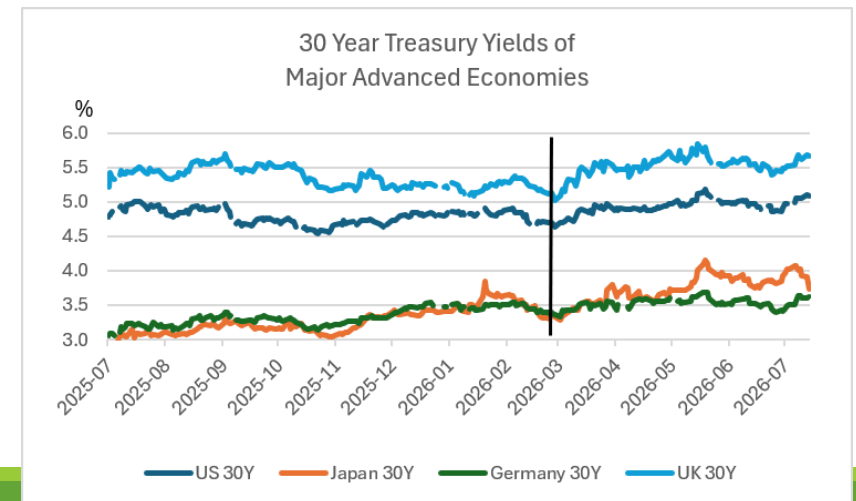
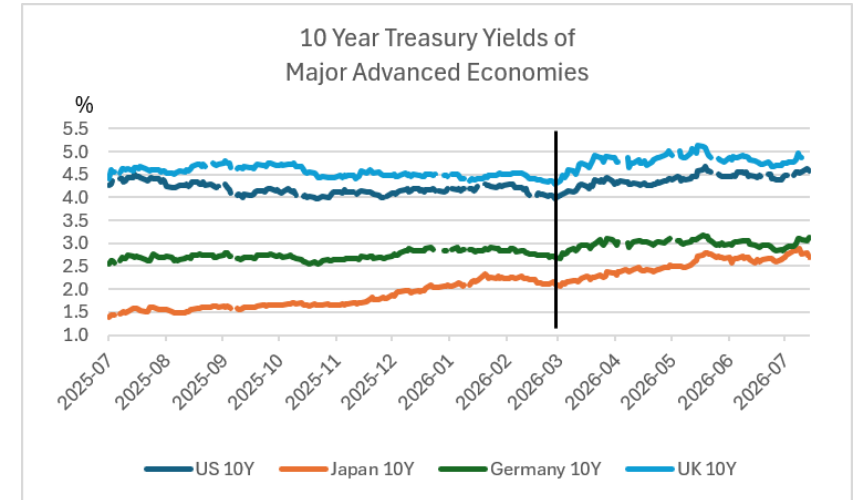
Central banks in major economies are alert to the inflation risks

- In June, both the European Central Bank and the Bank of Japan raised their policy rates by 25bps against inflation risks.
 - The ECB President Lagarde regards the hike as a robust move across all scenarios, and sees no evidence warranting a more forceful policy response at this stage.
 - Majority of the BOJ rate-setters saw continued upside risks to energy inflation and supported the further rise in the policy rate.
- In June, the US Fed held its policy rate unchanged at 3.5%-3.75%.
 - The Fed Chair Kevin Wash emphasized the FOMC's commitment to achieving the 2% inflation target was "strong, unanimous, and unambiguous".
 - All forward guidance was removed from the FOMC statement, while Chair Wash did not submit his own economic projection.
 - Median projection of FOMC participants sees a 25bp hike in the Federal Funds rate by the end of 2026, while market participants assign a probability of 79.3% for at least one hike in July-December 2026.



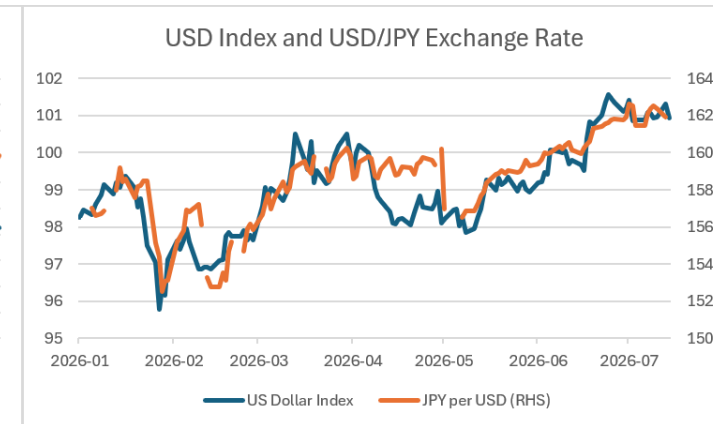
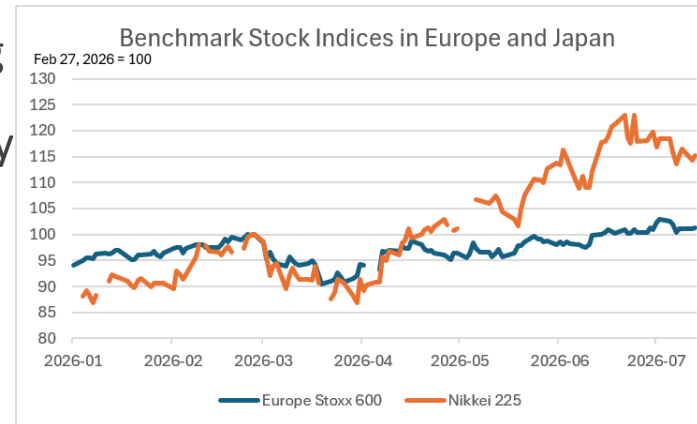
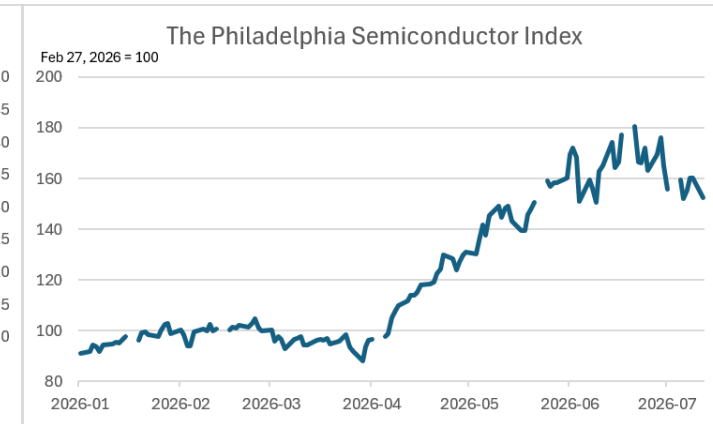
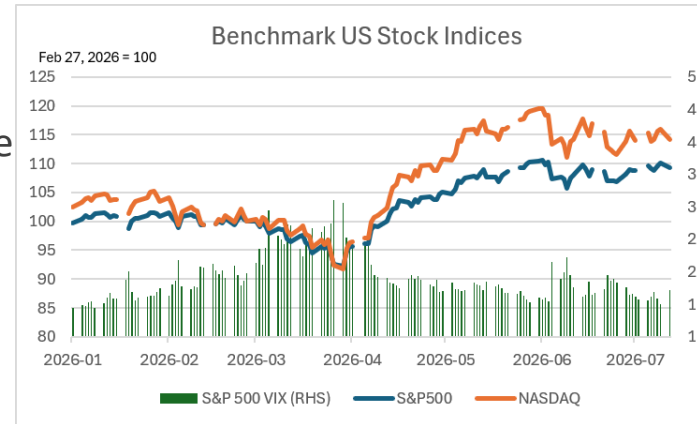
Treasury yields in major advanced economies remain elevated

- Long-term treasury yields of major advanced economies demonstrated an upward trend following the Middle East conflict.
 - In general, treasury yields rose in March and April, peaking in mid-May. The subsequent retreat partially erased the previous elevation, before witnessing a new round of hikes following the end of the military truce.
 - The elevation reflects inflation concerns, tight monetary policy tendencies, and diminishing fiscal space.
- For the US, 30 Year Yields touched 5.12% in early May, the highest since mid 2007, and have stayed above the benchmark 5.0% since July 07.
 - 10 Year yields have been fluctuating around 4.5%, the high end of the post-pandemic band.
- For Japan, 30 Year Yields set a record of 4.09% in May, while 10 Year Yields reached a new high of 2.85%.
 - Investors are alert to the risks that the Bank of Japan is behind the curve in containing inflation and further depreciation of the Japanese Yen.



Benchmark stock indices were in sideways in recent months

- US stock markets fluctuated around the mid-May levels in June-July.
 - S&P 500 and NASDAQ indices dipped in March, recovered in April-May, and then went flat in the subsequent months. By mid- July, S&P 500 was about 10% above the pre-war level, while NASDAQ was 15% higher.
 - Semiconductor stocks, the key trigger of the uptick in April-May, rolled over in recent weeks, with the Philadelphia Semiconductor Index sliding by about 20% from the peak in mid-June.
- The Japanese Nikkei 225 followed a similar trend as the US semiconductor stocks, rolling over in late June and early July, while Europe Stoxx 600 saw a much milder recovery, barely surpassing the pre-war level.
- Meanwhile, tightening expectations of the US Fed supported the US dollar index, recorded at around 101 in mid-July. The Yen, on the other hand, remained in depreciation against the US dollar.



Risks are building up in the current fragile balance

- Going forward, the current resilient but stretched situation may continue
 - Growth will likely remain slower than the pre-pandemic average, inflation will likely continue to stay above policy targets, Brent will likely stay above \$80, the Fed policy rate will likely stay at 3.5%-3.75% for another 6-12 months, and the US 10 Year Treasury yields will likely remain around 4.5%.
 - This is certainly not a “too bad” situation, but is also not a “good” one.
- Three questions worth contemplating in this “not too bad” but “not so good” context:
 - Even if the Iran/US conflict avoids serious escalation, will declining crude oil and gas stocks further push up refined petrol products, such as gasoline, fertilizers, and even plastics?
 - Even if the US Fed and the ECB avoid further tightening and opt for holding policy rates at current levels for longer, will long-term Treasury yields at current elevated levels translate into serious financial burdens for the government and enterprises looking to refinance the cheap debt they raised during the pandemic?
 - Even if AI investment continues at the current pace, will tech firm valuations remain juicy when the input costs (chips, memories, PCBs, etc.) keep going up, while non-tech enterprises (who are the paying customers of AI applications and models) are constraining or even cutting IT expenditures due to stalling consumption and non-tech investment?